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MANUFACTURING. THE TERM has become a buzzword for policy-makers in India over the past few years as they try to increase its share in the country's GDP by revving up private sector investments and attracting investors to set up industries. The objective has been two pronged: to transform India into a global manufacturing hub, rivalling, if not surpassing, China; and creating employment for the country's teeming workforce. But the goal has been elusive till now.

Building on this ambition, the Union Cabinet had in August approved 12 industrial smart cities that involve an estimated investment of ₹28,602 crore; have the potential to attract ₹1.5 lakh crore of investments; and create 1 million direct and 3 million indirect jobs.

"If the country has to become developed, it must be self-reliant, produce enough to meet domestic demand, expand its exports and achieve the target of \$2 trillion by 2030, meet the ambitions of the youth and provide them new jobs, encourage start-ups, then manufacturing has to be boosted. It is most important," Commerce and Industry Minister Piyush Goyal had said after the Cabinet's nod.

These 12 industrial areas are strategically located across 10 states and planned along six major corridors (see graphic 'On the Anvil'). Combined with four industrial smart cities that have been built al-

ready and another four projects under construction, the aim is to have a network of 20 industrial smart cities around 11 industrial corridors that would act as infrastructure building blocks to set up industries and manufacturing plants, provide ease of doing business, and improve multimodal connectivity—all requirements for investors.

"These can act as magnets or catalysts to accelerate the industrial growth in these areas," says Amardeep Singh Bhatia, Secretary, Department for Promotion of Industry and Internal Trade (DPIIT), adding that these are envisaged as modern towns and eventually along with manufacturing, services will also pick up in these areas.

THE PLAN

"The philosophy of the government is that it is not just indus-

trialisation, but also industry-led urbanisation," says Rajat Kumar Saini, CEO and MD of the National Industrial Corridor Development Corporation (NICDC). In an interaction with *BT*, he explains that these industrial smart cities are announced after careful planning and preparation and involves the central government and the states as equal partners. They have plug-n-play infrastructure, with the implementing agency taking care of land acquisition and environmental clearance, enabling investors to set up plants easily.

The 20 industrial smart cities are being set up under the National Industrial Corridor Development Programme that began with the launch of the Delhi-Mumbai Industrial Corridor.

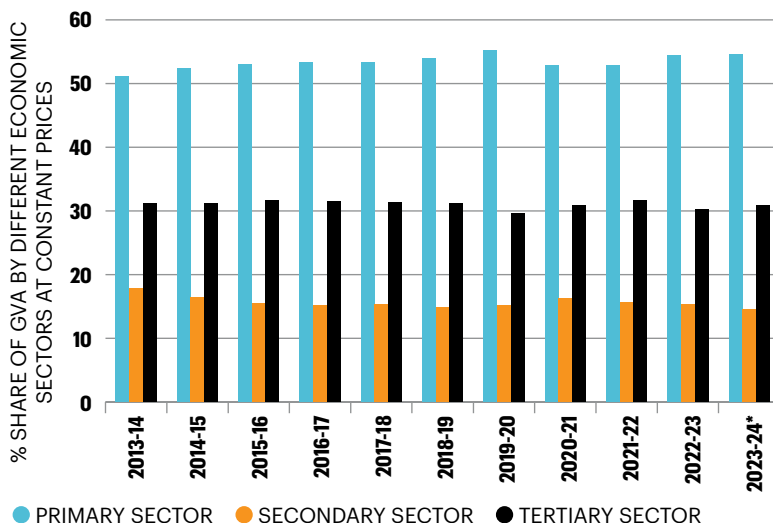
Driven by the PM Gati Shakti National Master Plan for Multimodal Connectivity and part of the



SHARE OF MANUFACTURING IN GVA OF INDIA

India hopes to raise the share of manufacturing in the economy to 25%

Despite measures, the share of manufacturing has stagnated



● PRIMARY SECTOR ● SECONDARY SECTOR ● TERTIARY SECTOR

* PROVISIONAL ESTIMATES SOURCE MOSPI
SECONDARY SECTOR INCLUDES MINING AND QUARRYING, MANUFACTURING, ELECTRICITY, GAS, WATER SUPPLY & OTHER UTILITY SERVICES & CONSTRUCTION